

NCBA GROUP PLC

DEPARTMENT: COMMERCIAL & SME BANKING

PRODUCT: ECOSYSTEM FINANCING FRAMEWORK

VERSION: 1.0

DATE: MARCH 2024

i) DOCUMENT INFORMATION AND REVISION HISTORY:

Version	Author	Date	Details:
1.0	Bonface Macharia	March 2024	Ecosystem Financing Framework

ii) POLICY AND RISK ALIGNMENT:

Aligned to Main Policy and System Specifications:		
Process Risk Assessment Matrix Reference *(Confirming procedure aligned to last assessment)*	**Last Assessment Date:**	**Next Update: March 2025**

iii) REVIEW AND APPROVAL:

ACTION	NAME	ROLE	SIGNATURE	DATE
PREPARED BY:				
	Bonface Macharia	Senior Manager, Distributor Finance Services	Approved	
REVIEWED & SUPPORTED BY:				
	Collyns Ouko	Head, Retail Digital Solutions	Approved	
	Robert Kiboti	Director, Commercial & SME Banking	Approved	
	Dennis Njau	Director, Network Business & Distribution	Approved	
	Joseph Mugambi	Head, Retail Credit Solutions	Approved	
	Beatrice Ogolla	Head, Retail Credit Approvals	Approved	
	Edwin Induli	Director, Credit Risk Management	Approved	
	Joy Mbobua	Head, Credit Policy, Quality Assurance & Compliance	Approved	
	Kenneth Kinuthia	Head, Retail Collections and Recoveries	Approved	
	Linda Kamene	Head, Retail Banking Products	Approved	
APPROVED BY:				
	Tirus Mwithiga	Group Director, Retail Banking	Approved	
	Pauline Ndote	Group Director, Credit Risk Management	Approved	
	John Gachora	Group Managing Director	Approved	

iv) TABLE OF CONTENTS

Table of Contents

i) DOCUMENT INFORMATION AND REVISION HISTORY: 2
ii) POLICY AND RISK ALIGNMENT: 2
iii) REVIEW AND APPROVAL: 2
v) ACRONYMS 4
1.0 INTRODUCTION 4
1.1 SCOPE 4
1.2 OBJECTIVE 4
1.3 PURPOSE OF THIS DOCUMENT 5
2.0 BACKGROUND 5
2.1 Problem Statement 5
2.2 Justification for the program paper 5
3.0 COMPETITOR MATRIX 6
4.0 MARKET APPROACH: DEFINING AN ANCHOR 6
5.0 PRODUCT DEFINITION 7
5.1 DETAILED PRODUCT FEATURES 7
Customer types 9
6.0 KEY RISKS AND MITIGANTS 11
7.0 ANCHOR & SUB-ANCHORS ONBOARDING PROCESS 13
7.1 GUIDELINES ON ACCEPTABLE BUSINESS OPERATING MODEL FOR ELIGIBLE ANCHORS / SUB-ANCHORS 13
7.2 DETAILED REQUIREMENTS FOR ANCHORS & SUB-ANCHORS 14
7.3 REQUIREMENTS FOR DISTRIBUTOR/RETAILERS/ STOCKIST 15
7.3.1 Document required Individual Borrower / Sole Proprietor/ Partnership (As applicable) 15
7.3.2 A Limited Liability Company 15
7.4 RISK ACCEPTANCE CRITERIA FOR ANCHOR / SUB-ANCHOR: 15
8.0 SUPPORT STRUCTURE 16
8.1 Commercial RMs 16
8.2 Corporate & Business Banking RMs 16
8.3 Regional Managers 16
8.4 Branch SME RMs & CPAs 16
8.5 Retail Digital Team 16
8.6 Account Maintenance Unit 17
9.0 Anchor Appraisal Process 18
9.1 Anchor Appraisal Process: The current process 18

9.2 Anchor Appraisal Process: The proposed process 19
10.0 PROCESS FLOWS 20
10.1 Embedded Finance Process Flow 20
10.2 Direct SME onboarding process 21
11.0 System Architecture 22
11.1 Deployment Architecture 22
11.2 Application Architecture 23
12.0 Annexures 24

v) ACRONYMS

Term	Meaning
NTB	New to Bank
KYC	Know your Customer
DFS	Distributor Finance Services
SME	Small and Medium Enterprise
IPRS	Integrated Population Registration Database
BRS	Business Registration Service
AML	Anti-Money Laundering
AMU	Account Maintenance Unit

1.0 INTRODUCTION

1.1 SCOPE

This framework covers the Ecosystem Financing approach and framework. It also highlights the process of defining and appraising the Anchor (or Sub-Anchor), on-boarding the Anchor, MOU signing between the Bank and the Anchor, limits allocation to eligible customers (distributor / dealers / retailers / stockiest) and also the Anchor itself, documents required at different levels of the processes, and the system architecture for Ecosystem lending.

1.2 OBJECTIVE

- ✓ Define the Ecosystem market approach based on key Anchors / Sub Anchors
- ✓ Ensure completeness of appraisal process of all the Anchors and Sub-anchors
- ✓ Ensure complete and accurate capture of customer details upon on-boarding
- ✓ Ensure objective appraisal of all distributor financing loans applications for eligible customers.
- ✓ Ensure compliance with the provisions of the Group Credit Risk Policy.
- ✓ Ensure that all risks involved in the process are identified and mitigated.

1.3 PURPOSE OF THIS DOCUMENT

- ✓ To act as a single reference of truth for Ecosystem lending
- ✓ To ensure that the segment led Ecosystem approach is well defined
- ✓ To define the on-boarding process for both Anchors/ Sub Anchors and borrowers
- ✓ To guide on how to analyze and onboard parties in an Ecosystem such as Anchors, Sub-anchors, Aggregators, and Retailers for Ecosystem lending
- ✓ To ensure that the necessary MOUs and covenants are in place and duly executed
- ✓ To ensure that a proper system infrastructure for Ecosystem lending is in place

2.0 BACKGROUND

In line with growth objective of acquiring one million new customers and 67% loan book growth, Retail Digital banking, intends to introduce short term unsecured digital loans to help the target customers access working capital quickly and conveniently as and when required. The solution targets Small Medium and Enterprises with DFS as the anchor product. The solution seeks to leverage technology and partnerships.

***2.1* Problem Statement**

Below are the key customer pain points that the proposition intends to solve for:

- **Manual Onboarding process:** - No current capability of Digital KYC and customer on-boarding for the borrowing clients.
- **Lengthy credit appraisal process:** - where security is available, the associated timelines for appraisal and credit decision is lengthy resulting into lost business opportuniti~~e~~s
- **Data:** - Unavailability of data to underwrite the borrowing SMEs for financing and where available, the data is not structured for ease of credit decisioning
- **Lack of bespoke solutions** to meet emerging business and industry needs.
- **Product features for existing DFS are too rigid & uncompetitive** especially on the maximum unsecured limit (KES 500,000) and pricing (4% flat per draw down).

2.2 Justification for the program paper

The proposed framework is based on business value that the bank intends to unlock. Some of the key value drivers include:

- **New Customer acquisition and growth:** - using an e2e Loan Origination System (LOS) and Loan Management System (LMS)
- **Balance Sheet growth:** - Existing customer base and loan book to be scaled up with other cross sell opportunities
- **Data:** - Access to rich data of Banking ready customers from various embedded partners to be monetized.
- **Technology:** - White-labelled solution offering Digital KYC, customer onboarding, loan origination and Loan Management System.
- **Improved Customer Experience:** - due to seamless processes and reduced TAT
- **Cost Reduction:** - due to automated processes and operational efficiency.

3.0 COMPETITOR MATRIX

Product Name	Overdraft facility	M-Jeki	Wezesha	Retailer Finance Loan or Jaza Duka	Eazzy Stock	Stock Loan	Distributor Finance
Maximum Unsecured Amount (Kes)	5M	40M	10M	10M	10M	15M	500,000
Maximum Tenure	30 days	7 days	30 days	30 days	60 days	90 days	90 days
Processing Fees (Per Draw down)	1.083% per month	0.4% per week	0.25% per week	0.5% per week	0.75% per week	0.25% - 0.5% per week	4% per week/month
Interest Rate	18% pa	18% pa	19% pa	18% pa	Nil but 21% pa on expiry of due date	18 - 21% pa	20.6% pa
Insurance	0.25% per draw down	Included in the Interest	Included in the Interest	0.33% per draw down	Included in the processing fees	Included in the Interest	N/A
Other fees	0.625% per draw down	N/A	N/A	N/A	N/A	N/A	N/A
Mode of access	Manual	App, USSD *258# , everyday 24/7	App, Web	USSD, *520#	USSD, App, Web	USSD, App	USSD

General observation on NCBA: No catchy name, Maximum limit too low & applicable bank charges are too high

Source: Solicited from bank officers from the respective institution.

4.0 MARKET APPROACH: DEFINING AN ANCHOR

The Bank will focus on well-established and credible Anchors/Sub-anchors who are willing to partner with the Bank in supporting the downstream actors (Distributors/ Wholesalers/ Retailers/ Dealers/Stockiest) who qualify and are eligible for loans as per the banking underwriting standards.

Anchor – An Anchor is referred to as an established entity which gets raw materials, process them to finished product and distribute them to the final consumer. They are the product owners. eg. EABL who owns beer, or Brookside who owns processed milk, etc.

Sub-Anchor – This is an aggregator who deals with assorted products from different business entities for onward selling to their off-takers. They are not the product owners. eg. Kanini Haraka who deals with assorted products.

The Anchors / Sub Anchors will be **categorized** as follows:

1. Multinational Corporations (MNCs) - Companies incorporated in a foreign jurisdiction with a place of business in Kenya and/or a subsidiary of a global company eg, EABL, Coca Cola, Yara, CFAO Agri, ETG, BAT, etc.

2. Regional Corporates – Companies incorporated in Kenya and with operations in Kenya and other countries eg, Galana Oil, National Cement, Ultra Vetis, Sigma Feeds, etc.

3. Local National Corporates – Companies incorporated in Kenya with a distribution presence in several counties eg Devki Steel, GIL, Pwani Oil, Kapa, DPL Festive, Kanini Haraka, etc.

4. Local Anchors/Sub Anchors - Corporates or large enterprise with a distribution presence in a certain region or area of operation or a nominated distributor of large anchors -e. g Maize Millers, Cosmetic Manufacturers, Osho Chemicals, Mega Wholesalers, Khetia Drapers, Ouru Superstores, Scooby Wholesalers, EABL & BAT Distributors, Lesphine, Muguna-andu, Mukai Wholesalers, etc

The Anchors/ Sub-anchors will be recruited from the Bank Segments and Sectors as defined within market focused approach and those whose products have a cash flow cycle of not more than 90 days. The Bank will play in the following **sectors**:

a) Manufacturing
b) Energy, oil & gas

c) Agriculture
d) Trade
e) Health
f) Telecommunications
g) Others as defined from time to time

5.0 PRODUCT DEFINITION

Ecosystem Banking aims at providing financial services to an Anchor's/ Sub-anchor's ecosystem (downstream actors) through Distributor Financing Product. The product dubbed **NCBA BOOSTA** is facilitated through the collaboration of the respective Anchor / Sub Anchor and the Bank for shared prosperity. The loan access process is automated to help the downstream actors (distributors/dealers/retailers/stockists) access loan instantly (conveniently) to meet the financial needs in order to access the products as the needs arise.

Distributor Finance is a short-term working capital loan to business customers to help address business cashflow challenges. The product is short in nature and will be offered digitally through mobile in specific ecosystems with short term trading cycle.

5.1 DETAILED PRODUCT FEATURES

This describes the features and parameters of the proposed product including the risks and controls put in place to manage the product.

FEATURES	DETAILS
Product Name	o NCBA BOOSTA (Distributor or Retailer Finance).
Product Definition and Justification	o NCBA BOOSTA (Distributor or Retailer Finance) involves provision of working capital solutions to Approved Dealers /Distributors/Wholesaler/Retailers and/or Stockists who are onward sellers of the products from the respective Anchor / Sub-anchor.
Target Market	o The target clientele for this product is all approved Distributor/Stockist/ Wholesaler/Retailers who are onward sellers of products of the Anchor/ Sub-anchor. This facility allows a Distributor/Stockists to draw funds for stock financing requirements quickly and conveniently as and when required.
Loan Terms/Maturity	o **Loan Terms Tenor**: Based on nature of product and product conversion cycle. o Unsecured facility tenor capped at maximum of **90 days** as defined below: - FMCGs and sectors with generally short operating cycle – Minimum of **7 days** and maximum tenor of **30 days** pegged to the product cycle. - Anchors in industries with longer operating cycle: Maximum of 60 days depending on the product operating cycle supported by aging analysis - The Bank will not finance troublesome receivables/ debtors book aged beyond the Anchors allowable credit terms/risk appetite. To support this the Anchor will be required to submit their current aging debtors and creditors analysis to facilitate the appraisal. - The loan facility is a revolving stock financing facility. Each drawdown shall be repaid within the agreed cycle depending on the Anchor's / Sub-Anchor's product operating/cash cycle but not exceeding 90 days. - The overall facility limit is **renewable every 3 months** at the sole discretion of the Bank subject to satisfactory performance record of the previous/existing disbursements (Performance monitoring).

- Financing per obligor should not exceed **70%** of the working capital requirement.

- **Pricing:** - The pricing model will be **commission/margin based.** The price will be based on the current margin of Distributors & Retailers and shared as profit with the Bank subject to a defined minimum yield within the Bank. **- A commission fee** applicable should be all inclusive. Have the bank charge configurable in the system to allow customization depending with the margins realized by the off-takers as shown in the table below. A range is set as a guide, 0.5% - 4% per draw down.

Proposed Pricing Matrix Guide									
Applicable Bank Commission	0.5	0.75	1	1.5	2	2.5	3	3.5	4
Distributor Product Margins	1% & Below	1	3	6	10	13	16	19	20% & Above

As shown below, margin realized per barrel of KEG is 19% thus the recommended bank commission is 3.5% chargeable per draw down.

Computation of Working Capital Financing Total Cost Per Barrel of KEG @5300		
Purchase Price Per Barrel of KEG	5,300	
Drawdown Fee	3.5%	185.5
Interest for 7 Days	0.0038	20
Total Cost Per Barrel		**205.8**
Selling Price Per Barrel of KEG	6,300	
Gross Profit	1,000	18.9%
Cost of Credit	205.8	3.88%
Net Profit	**794**	**15%**

- Penalty Interest rate will apply for customers whose payments are overdue equivalent to the Bank's prevailing default interest rate, currently 30% p.a.

-Insurance fee: - Credit Life fee of **0.011%** (as proposed by NCBA Bancassurance) of the limit amount. This covers risk insurance i.e. death of the borrower.

Facility amounts

Distributor/Retailer/ Stockist Level

- ✓ Maximum unsecured limit/exposure/drawdown is **KES35M** per Distributor/Retailer subject to the allocated limit.
- ✓ Capping the limit to 20% * Anchor Max Limit or Kes 35M whichever is lower.
- ✓ However, if security is provided – The limit will be enhanced up to the separately approved qualifying amount as approved by the Bank.

Notional Level – for Anchor / Sub-Anchor (see details below)

This shall not exceed **25%** of the annual sales for the preceding year.

	Disbursement Guidelines ✓ No disbursement shall be utilized to liquidate previous Facility ✓ No disbursement to be utilized to pay for existing/historical/ bad debt debts ✓ Disbursement shall be done upon/after receipt/delivery of earmarked goods by the distributors/stockiest/retailer
Limit termination	The assigned limit will not expire but it can be terminated under the following circumstances: ✓ The distributor ceases to be an approved customer with the Anchor / Sub-Anchor ✓ If the distributor has defaulted their loans ✓ The bank holds the rights to terminate the assigned limit if need be - with proper justification
Security	Unsecured
Credit Scoring matrix	This being based on the historical sales turnover from the anchor as opposed to account turnover-based lending, a simple logic for limit assignment for be adopted as opposed to machine learning.
Disbursement options	Funds should be disbursed directly to Anchor or Sub- Anchor's NCBA account with appropriate narrations. This is to mitigate any chances of funds diversion.
Channel of access	Mobile App & WEB and USSD (Android & IOS)
Customer types	• Existing NCBA Customer • New to Bank Customer
Method of Repayment	▪ NCBA account through Mobile USSD and Mobile App ▪ Automatic debit through T24 COB or sniffing tool ▪ M-Pesa STK push ▪ LOOP account
Limit per Anchor/ Sub-anchor	✓ The Maximum allowable exposure per Anchor/ Sub-anchor shall not exceed **25%** of the immediate previous year's total sales attributed to the core business product in consideration as per the audited accounts. ✓ Illustration - If sales FY2023 was KES1bn - Maximum allowable exposure under Anchor / Sub-Anchor in FY2024 is KES 250m. ✓ This is the maximum cap but subject to quality of the debtors' book (aging analysis) and the level of credit sales.
Peak season accommodations	The Anchor / Sub-Anchor limit may be reviewed on case by case supported by analyzed data and approved by CRM as temporal Limit accommodation on exceptional basis
Responsibility/Accountability /Undertakings of the Anchors/ Sub-Anchors (To be entrenched in the MOU)	✓ Electronically provide accurate sales data to the Bank ✓ Referral / recommendation of qualified, eligible and credit worthy distributors/retailer to the Bank upon conducting due diligence on credit worthiness of the distributor eligible to purchase products for resale

	✓ Provide the Bank with any changes in business model/products and changes of terms of trade with the retailers ✓ Provide the Bank with the requisite financial information ✓ Provide the required KYC documents as prescribed by the Bank ✓ Execution of Retail Business Agreement/Distribution Business agreement ✓ The Bank to may consider discontinue the Ecosystem financing for the Entire Anchor / Sub-Anchor if the Loss ratio is more than the acceptable risk threshold i.e. **5%** ✓ The Anchor / Sub-Anchor shall not utilize disbursed funds to settle historical/bad debts. (Disbursements will be for current sales) ✓ Ensure they supply the Qualified /Distributors/Retailer with the Anchors / Sub-Anchors Products ordered in accordance with the terms agreed between the Retailer and the Anchor. ✓ To provide information that shall assist the Bank in loan recovery and any other processes that require the Qualified Distributors/Retailers to be contacted be it in this agreement or the loan agreement between the Qualified Distributor / Retailer and NCBA for easy recovery. ✓ To advice the Bank of any adverse activity with the qualified Distributor/Retailer and advice in good time, preferably one month any intention to terminate the Retail Business Agreement. The working capital offer is only extended to Qualified Distributors/Retailers retailing under the Anchor. ✓ To share information with the Bank with regards to the Qualified Distributors/Retailers' trading history for purposes of independent assessments and appraisal in line with the Bank's internal policies. ✓ To furnish the Bank with the relevant information on a respective Qualified Distributor/Retailer's business when called for by NCBA Bank ✓ To issue a Qualified Distributor/Retailer with a recommendation letter and a statement of transactions where applicable. ✓ At advice of bank, to stop supplying Qualified Distributors/Retailers with products when in bank loan default
Risk Threshold	**Portfolio Limit** The Portfolio limit capped at 15% of the Business Banking Gross Loan portfolio. We shall have a product marker in T24 to monitor the portfolio limit and review in the monthly MCC. **Maximum Limit per Anchor/Sub-Anchor** This shall not exceed 25% of the annual sales for the preceding year. **Maximum Limit per distributors/Retailer/Stockist** Unsecured limit up to KES35M. Capping the limit to 20% * Anchor Max Limit or Kes 35M whichever is lower. Any amount above the KES35M should be fully secured
Quality Parameters	✓ Expected repayment rate **> 95%** (This will be done on Vintage basis) ✓ Loss rates **< 5%** ✓ Provisions should be 100% post 90 days ✓ Write off should be done after every **180 days** for the unsecured portion of the portfolio ✓ Written off Book to be followed up for settlement under B20

Reporting & Monitoring	✓ Daily, monthly, quarterly reports and dashboards should be availed ✓ Metrics to be measured: Disbursements (Value & counts), PAR, Revenue trends, On-boarded Anchors & Retailers, Provisions versus the targets.

6.0 KEY RISKS AND MITIGANTS

Identified Risk	Mitigation
Credit Risk This is outright failure by the borrowers/retailers/distributors/ stockist to pay the debt obligation resulting in credit losses to the bank thereby increasing impairment provisions and reducing the Bank's bottom line.	1) Borrower's own contribution The borrowers/retailers/distributors already injected permanent working capital and establishment costs, the product will support only stock financing (floating) 2) All the Anchors/Sub-Anchors/distributors/ retailers to open and operate current/collection account with the Bank upfront 3) The bank has put in place a delinquency management strategy and will send reminder messages to the borrowers before and/on the maturity of the facility borrowed, and arrears reminders thereafter – if not yet paid up. 4) CRB checks to ensure facility is availed to borrowers/distributors/retailers with acceptable credit records to the Bank 5) Credit Scoring matrix & Limits Assignment Models All lending based on approved Credit Risk Scoring model. Limits to be availed / assigned based on credit scoring of trading data, where limit is pegged on the trading/purchase history to ensure that risk of overfunding is minimized 6) BLP insurance to apply for all loans borrowed by customers 7) Shorter Loan Tenor capped at 90 days maximum, to keep risk exposure very short 8) Termination clauses/exit capabilities for the Bank at the MOU /stop supply/exit clauses at retailer/individual level – if the loss ratio at portfolio level is beyond the threshold 9) Automated Reporting and Monitoring Dashboard – Vintage Analysis for proactive monitoring and remedial plan 10) Credit Risk Sharing Guarantee - Risk sharing guarantee (AGF) to be pursued

Operational Risk **Fraud** Retailers/Distributors colluding with Anchors / Sub-Anchors staff to manipulate the data for higher limits than qualify amount	1) Aging analysis to enable the Bank to cherry-pick quality debtors' will good credit records 2) Data will be sent by the anchor / sub-anchor directly to the bank to the following dedicated email address - nowloans@ncbagroup.com as opposed to sending to a personal email. An automated data sharing and upload will be ideal and currently being finalized. 3) The credit scorecard will utilize the data availed to objectively assign a limit depending on the validated sales records/data 4) The Bank will pursue to build capacity to integrate with the Anchors / Sub-Anchors in order to access data real time. This will ensure correctness and reliability of data
System Downtime This can frustrate disbursements or payments of the loans or transactions resulting to poor customer experience and complaints	1) 24/7 Network monitoring on the Bank Core system and all the other related systems b) Clear ownership of the responsibilities from the product through the bank's established business units to ensure seamless resolution of customers complains and recovery process c) Clear escalation matrix for system downtime d) Clear communication of scheduled and unscheduled system downtime to customers
Reputational Risk Onboarding Anchors /Sub anchors and distributors with tainted records and thus contagion reputation risk to the Bank	The process of Anchor's onboarding has been clearly defined which involves due diligence, compliance with KYC standards of the Bank, AML screening to be conducted and compliance with AML/CRB/KYC policy requirements
Regulatory Pricing, commissions, and levies could be set in a manner that is not in line with regulatory/market guidelines	Pricing will be in line with the current pricing framework for the product.
Double Funding Risk or Overtrading Customers with existing Working capital facilities might be access under this program Defaulting customers in other financial institution may end up getting loans under this program	1) CRB report to be generated to ensure good credit records and valid referrals from the Anchor 2) Credit Scorecard to ensure limit to borrowers is based on accurate and reliable/validated trading data over at least six months period 3) Customers with existing stock loans will be barred from accessing this product to curb double funding
Strategic Risk Failure by Anchors / Sub-Anchors to align to the bank's standards regarding Credit/Receivables quality and policy, process and procedures defined, resulting to lapses which are unacceptable to the bank.	1) Anchors / Sub-Anchors must meet the minimum onboarding risk acceptance to ensure onboarding of reputable anchors/sub-anchors only 2) Duly executed MOU which clearly spells out the term and conditions, accountability and responsibilities of the Anchor / Sub-Anchor and the Bank 3) Enhanced and complete due diligence done prior to contracting.

	4) Enhanced and complete due diligence done prior to contracting.
Conflict of interest between Anchors / Sub-Anchors and distributors thus financing old debts The Bank risk being entangled in disputed trade between Anchors / Sub-Anchors and Retailers / Borrowers or even financing historical debts	1) Disbursements to be done upon delivery of the current stock to the distributor/stockist to minimize chances of funds being allocated for historical debt 2) Anchor's / Sub-Anchor's recommendation of distributors with good trading and credit history which is to be validated by the Bank 3) Duly executed legal services approved MOU between the Bank and the Anchor with clearly defined roles and responsibilities of the Anchor
Model Risk Credit Scoring and Limit Assignment engines give wrong results hence higher limits than necessary (or even gives limits to undeserving clients).	1) The scoring model has been developed and approved by the relevant stakeholders. 2) The scoring model will be subject to periodic reviews and any discrepancy noted addressed accordingly.
Data integrity risks from where the data is sourced i.e. the Anchors. Borrowers (and Anchors/Sub-Anchors) artificially inflating income/payments to result into higher limits.	The bank will ensure that the NDA and MOU have been duly executed stipulating the consequences of breach of data authenticity
Outsourced functions/systems creating loopholes that can be exploited.	The bank has the sole mandate of hosting all the out sourced systems and functions within the bank's infrastructure while adhering to the laid down internal controls.
ICT Security Risks need to be addressed to avoid losses driven by ICT security driven attacks.	Any deployment and system enhancement have to be subjected to scrutiny for ICT security review and approval. Any risk identified is duly mitigated before deployment

7.0 ANCHOR & SUB-ANCHORS ONBOARDING PROCESS

7.1 GUIDELINES ON ACCEPTABLE BUSINESS OPERATING MODEL FOR ELIGIBLE ANCHORS / SUB-ANCHORS

When engaging the Anchor / Sub-Anchor for Dealer/Distributor/Retail Financing, the following guideline should be followed:

- Established Business model - It is important to understand the business model of the anchor / sub-anchor, and the entire value chain. It is also important establish the revenue model of the Business (i.e. How the business makes and loses money)
- Product ownership - Clarity on the nature of goods/product (preferably Fast-moving consumer goods)
- Clarity of the route to market for the products and nature of distribution framework. - Exclusive vs Non-exclusive distributorship, Territorial, categorization, etc
- Anchor / Sub-anchor must have clear visibility/sight of data i.e, the trading volumes for the distributors/ retailers

- Clear/demonstrable trading cycles – This will inform on appropriate loan tenor. Does the anchor / sub-anchor have peak and off-peak trading cycles?
- Positive product margins - This will inform on appropriate pricing matrix
- Clarity of Terms of Trade extended to the distributors; cash versus credit terms, discounts if any, loyalty programs and how they are managed
- Clarity on how the borrowers / distributors place their orders to the anchor /sub-anchor - The payments/disbursements shall be made once goods have been confirmed as received by the distributor/retailer to minimize payment for historical/bad debts
- Clarity of the payment/ collection channels in use; NCBA tills, Lipa na Mpesa, PDQ etc
- The Anchor / sub-anchor must provide accurate Debtor's book & Ageing analysis for the period required and anchor must have accurate data of trading volumes for the distributors/retailers
- Anchors / Sub-Anchors should be encouraged to have ERP that can integrate with the Banks systems and platforms. This brings in efficiency and real time visibility of information between the Bank and the Anchor.
- Anchor / Sub-Anchor should be willing to provide the requisite documents for on boarding the anchor
- Favorable Credit Reference Bureau Reports/ favorable AML Reports - to be generated internally by Credit Analysis and AML reports providing departments

7.2 DETAILED REQUIREMENTS FOR ANCHORS & SUB-ANCHORS

For anchors / sub-anchors with existing Relationship/Accounts with the Bank – No KYC requirements

- Company profile to be prepared internally by the designated RM with information from publicly available documents and containing below minimum financial information.
-
- Distributor/Retailer purchase data to support limit determination to be provided in the below format by the Anchor / Sub-Anchor
- Three year's audited financial statements of the Anchor/Sub-Anchor
- Current management accounts (where the latest audited accounts are older than 6 months)
- Current Aging Debtors and Creditors Analysis
- Any other information which the Bank may deem necessary to support the process/request will be requested on a case-by-case basis
- Latest CRB Report of Anchor/Sub-Anchor plus key stakeholders (shareholders/directors)
- Call report

For anchors / sub-anchors without existing Relationship/Accounts with the Bank – KYC documents required

- Full Anchor / Sub-Anchor onboarding requirements and KYC requirements upfront
- Certificate of Incorporation (where applicable), Registration certificate, Company PIN, Memarts (where applicable), copy of ID/passport for all directors.
- Full company profile including management structure/Governance Framework, business operating mode and distribution channels
- Three years audited accounts and current Management accounts (where audited numbers are over 6 months)
- Current Aging Debtors and Creditors Analysis

- List of Distributors/Retailers/stockist under the Anchor
- Latest CRB Report of Anchor/Sub-Anchor plus key stakeholders (shareholders/directors)
- Call report
- Distributor/Retailer/Stockist 6 month's purchase data as per the below format to facilitate scoring and limit assignment.

MERCHANT ID	NATIONAL ID	PHONE NO	CHANNEL	TRANSACTION ID	FACE AMOUNT	TRANSACTION DATE	OTHER DETAILS

7.3 REQUIREMENTS FOR DISTRIBUTOR/RETAILERS/ STOCKIST

7.3.1 Document required Individual Borrower / Sole Proprietor/ Partnership (As applicable)

✓ National identity card
✓ KRA PIN business registration certificate
✓ Current business permit/license
✓ Partnership deed (partnership)
✓ Current Tax compliance certificate
✓ Latest CRB Report of Borrower plus key stakeholders (shareholders/directors)

7.3.2 A Limited Liability Company

✓ National Identity card for the directors
✓ KRA PIN for the directors
✓ Memorandum of Association (if applicable)
✓ Articles of Association (if applicable)
✓ CR1, CR2, CR8, CR12 (As applicable)
✓ Certificate of Incorporation/Registration
✓ Duly executed board resolution to borrow
✓Current tax compliance certificate
✓ Certificate of business /current business permit/license
✓ Latest CRB Report of borrower plus key stakeholders (shareholders/directors)

7.4 RISK ACCEPTANCE CRITERIA FOR ANCHOR / SUB-ANCHOR:

- ✓ To be the owner of the final product or aggregators of final product
- ✓ Stable/growing revenue trend over the latest last two years (in-line with industry trends)
- ✓ Positive operating profit with consistent trend demonstrated over latest last 2 years
- ✓ Bank's acceptable CRB records over the proposed anchor / sub-anchor
- ✓ Confirmed standard MOU terms & conditions in place
- ✓ AML compliant
- ✓ Operated the business for at least 3 years
- ✓ NCBA acceptable management profile and governance structure

- ✓ Operative collections and payments account with NCBA Bank PLC.
- ✓ Debtors/receivable quality – Current ageing analysis to ensure the bank does not on-board non-performing debtors from the Anchor
- ✓ Met the banks KYC requirements

8.0 SUPPORT STRUCTURE

8.1 Commercial RMs

The key role is to coordinate all Ecosystem initiatives across all the function i.e. Branches, Segment, Product Heads, Retail Digital Solutions, credit appraisal and Credit Risk Management to ensure that the Ecosystem Strategy is effectively implemented and executed.

8.2 Corporate & Business Banking RMs

- Ensure that all the Ecosystem Anchors / Sub-Anchors within their portfolio are appraised and on-boarded
  - Collate all KYC information of the Anchor per the provided checklist
  - Propose a curated product structure in terms of pricing and tenor customized to the Anchor / Sub-Anchors
  - Provide the data from the anchors / sub-anchors regarding the downstream / upstream actors
  - Participate in marketing initiatives of the product by the Anchor / Sub-Anchor
  - Enforce the roles and responsibility of the Anchor as stipulated in the MOU
  - Responsible for PAR owned to the Anchor / Sub-Anchor
  - Ensure all the customers are onboarded and utilizing the product

8.3 Regional Managers

- Ensure all approved Ecosystem players in the region are on-boarded successfully
- Coordinate recruitment of ecosystem players (anchors, sub-anchors, retailers) across all bank segments
- Drive Ecosystem products and services uptake
- Responsible for the Ecosystem Banking growth in assigned Region as per the KPI
- Responsible for PAR management
- Managing Ecosystem dormancy
- Overall reporting for all the Ecosystem Banking business across the region and segment end to end

8.4 Branch SME RMs & CPAs

- Recruitment and timely onboarding of Ecosystem players within the branch coverage
- Collate all the KYC documents
- Facilitate customer on boarding
- Customer relationship management
- Managing ecosystem dormancy
- Cross sell other Bank Products
- Customer performance monitoring and PAR management

8.5 Retail Digital Team

- Ensure that the data provided is validated as accurate and authentic
- Timely data processing and pre-scoring

- Provide relevant product mapping in the system
- Monitoring system uptime and escalation where necessary
- Update the limits on regular basis as defined in the MOU
- Ensure RMs/ Branches can access timely reports
- Continuous product innovation to ensure competitiveness

8.6 Account Maintenance Unit

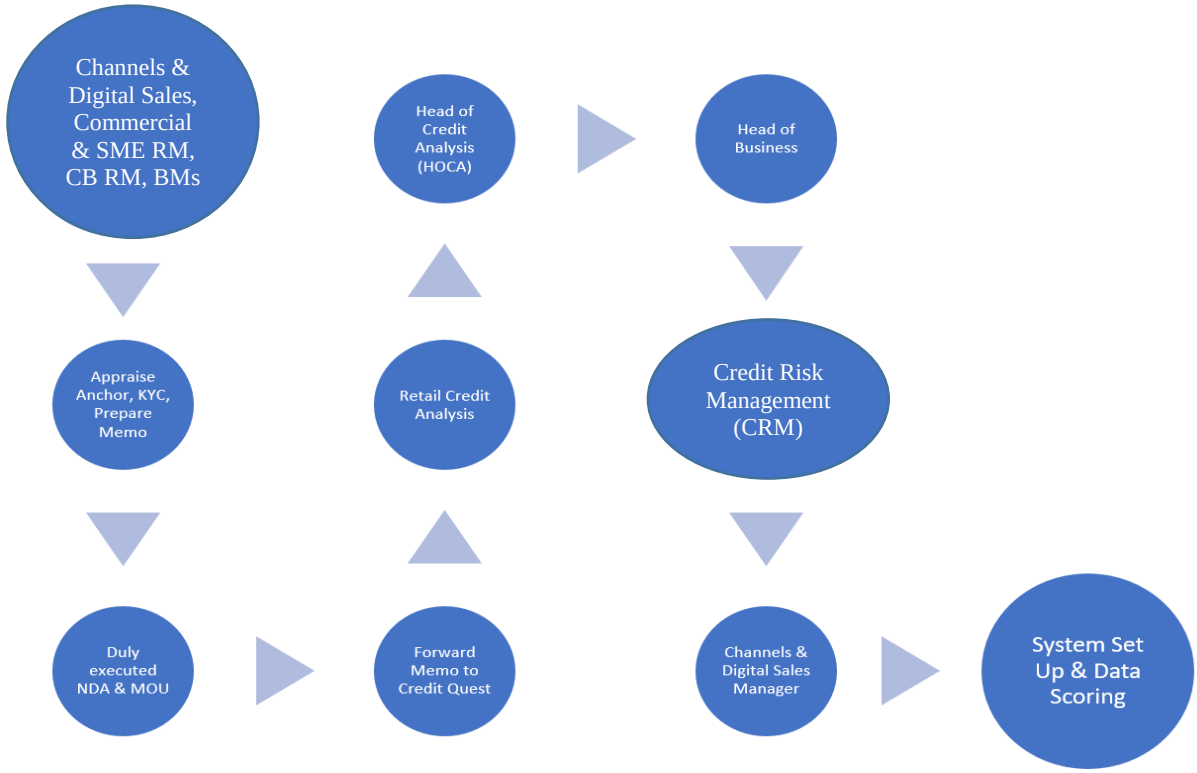
- Creation of Anchors / Sub-Anchors
- Uploading customer's data
- Termination of customer's limit when needed
- Facilitating scoring and limit allocation
- Maintain the loan product as approved

8.7 *Credit Operations Unit*

- Ensure that the bank charges, commissions, excise duty, penalties and accrued interest is duly collected and posted to the respective GLs
- Ensure that there's no income leakage
- Reconciliation of any loan related issue e.g Reversals,

9.0 Anchor Appraisal Process

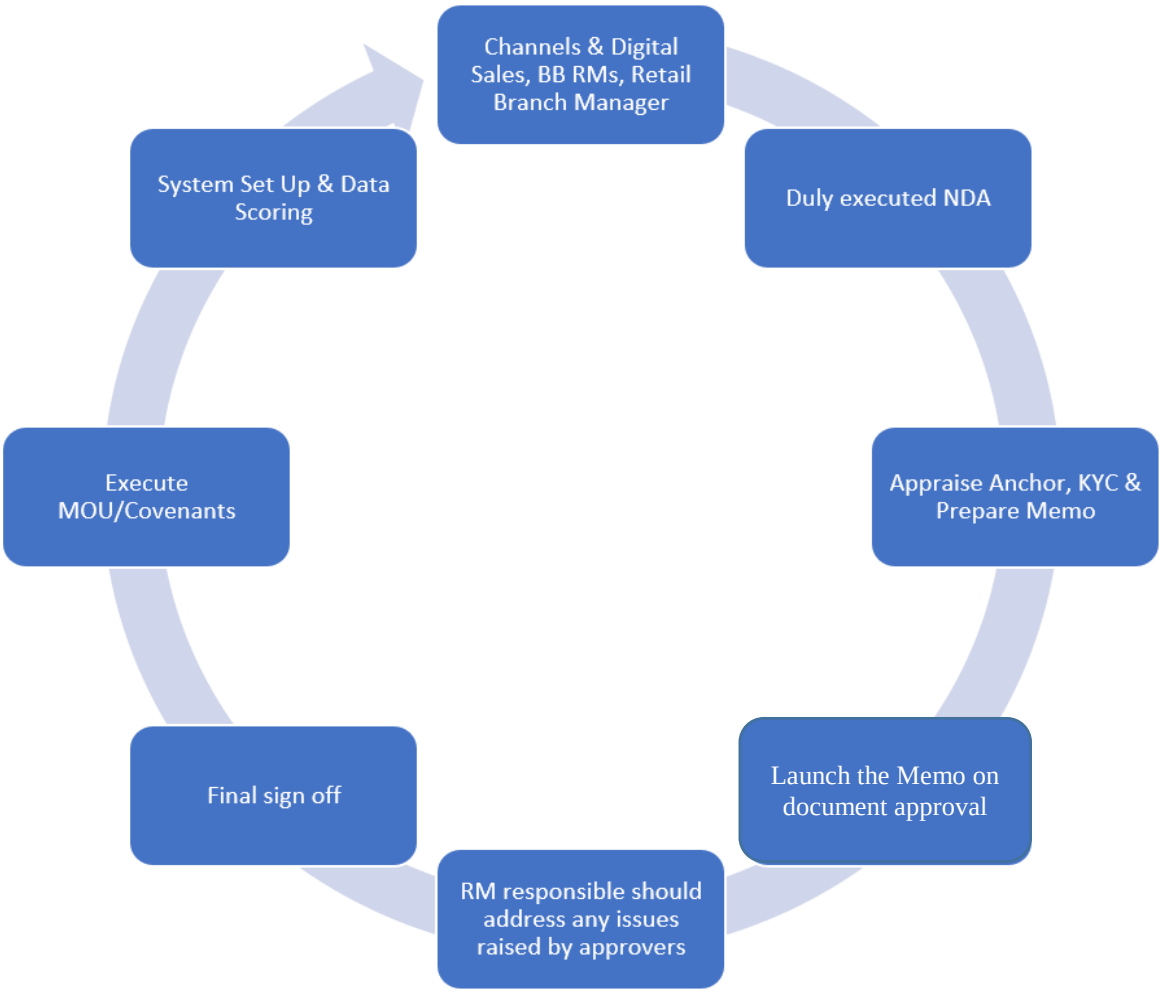
9.1 Anchor Appraisal Process: The current process



The current TAT is 3 months

9.2 Anchor Appraisal Process: The proposed process

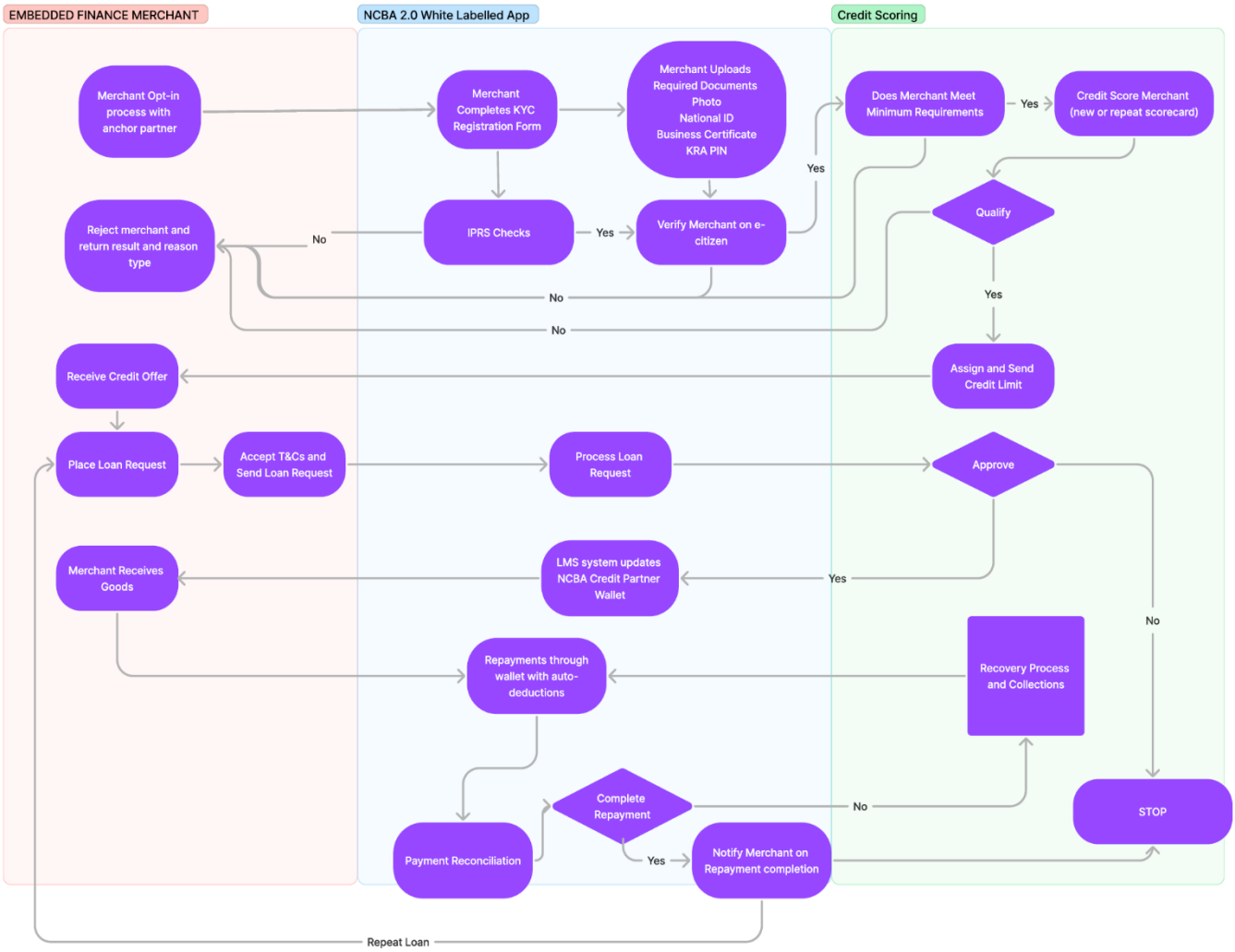
The proposal should be initiated under "Document Approval System" as opposed to CQ.



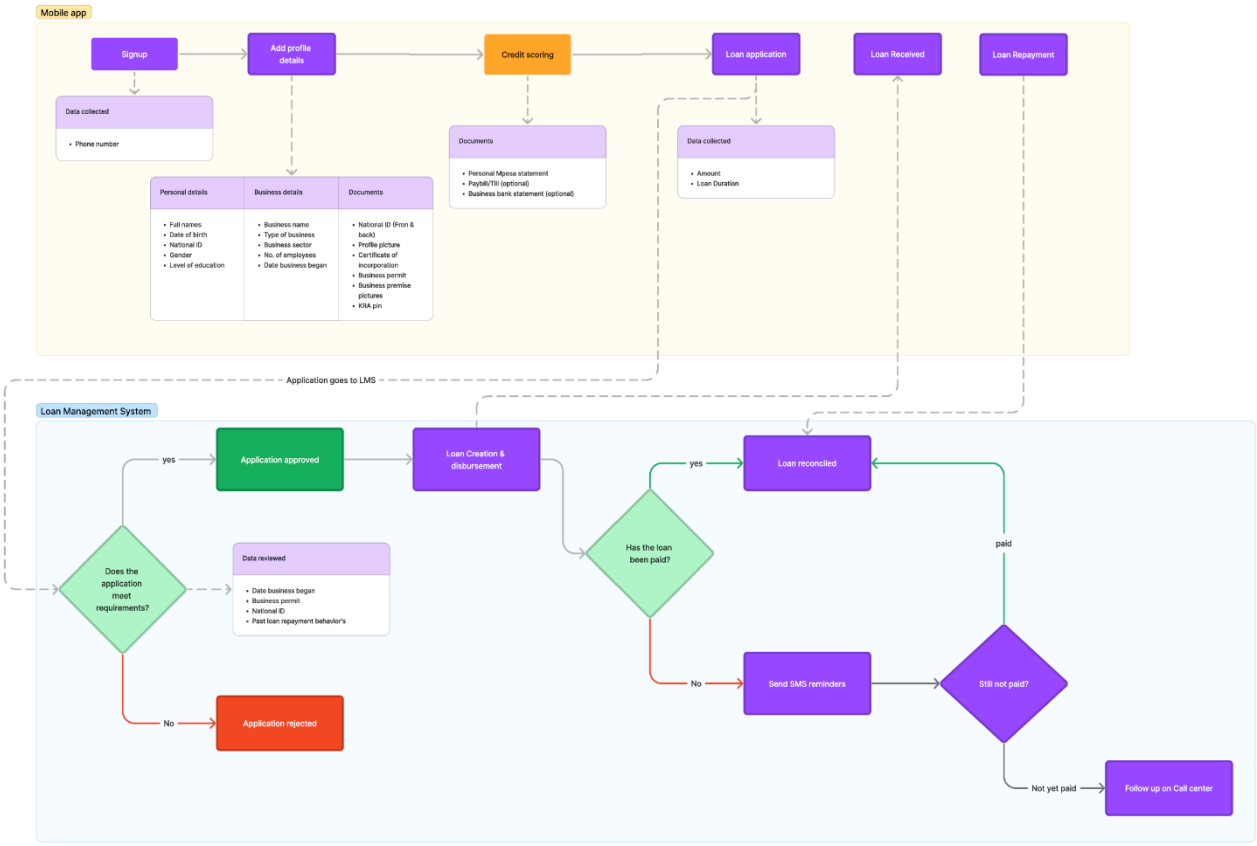
We target to reduce TAT to one week

10.0 PROCESS FLOWS

10.1 Embedded Finance Process Flow

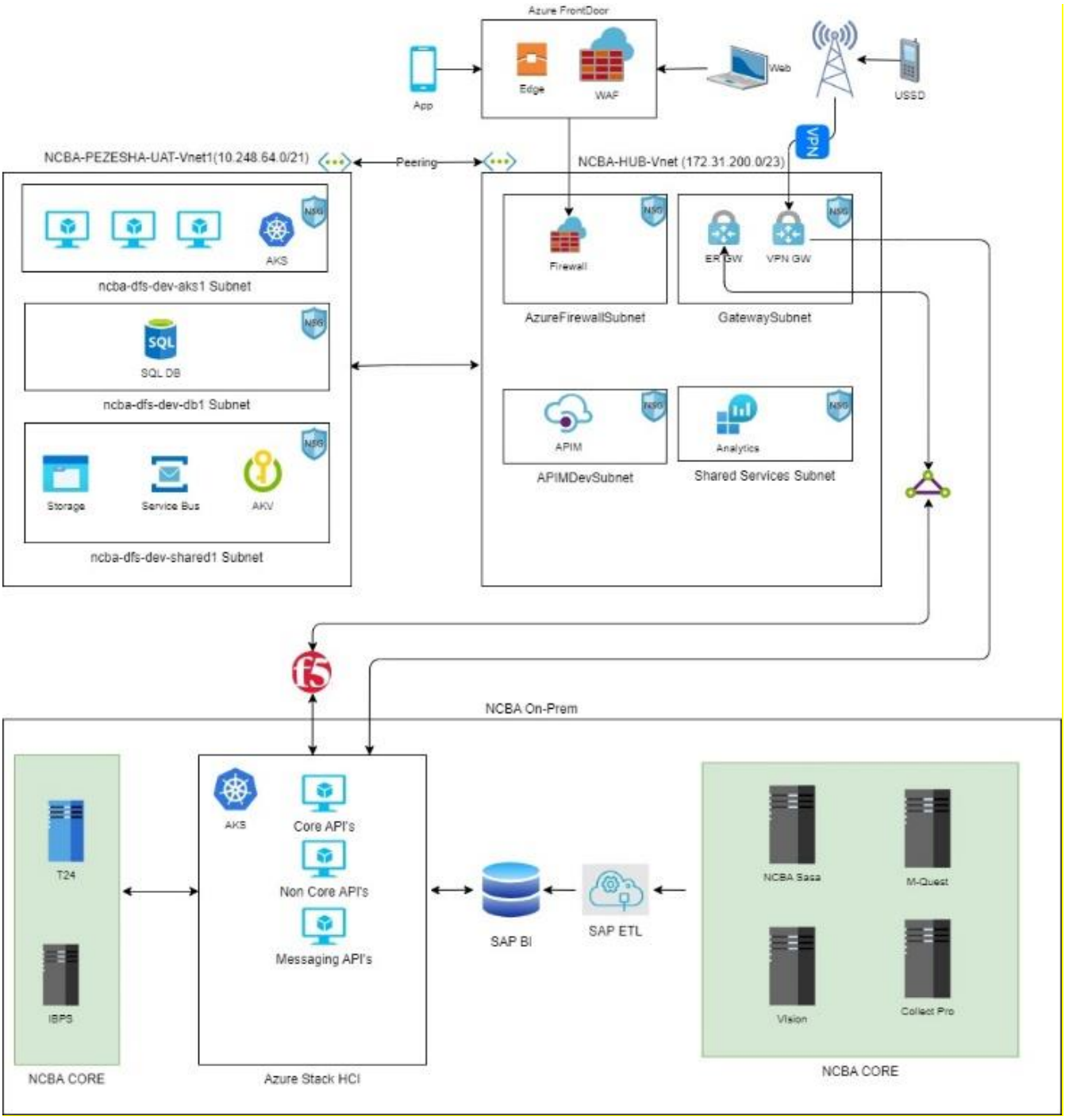


10.2 Direct SME onboarding process

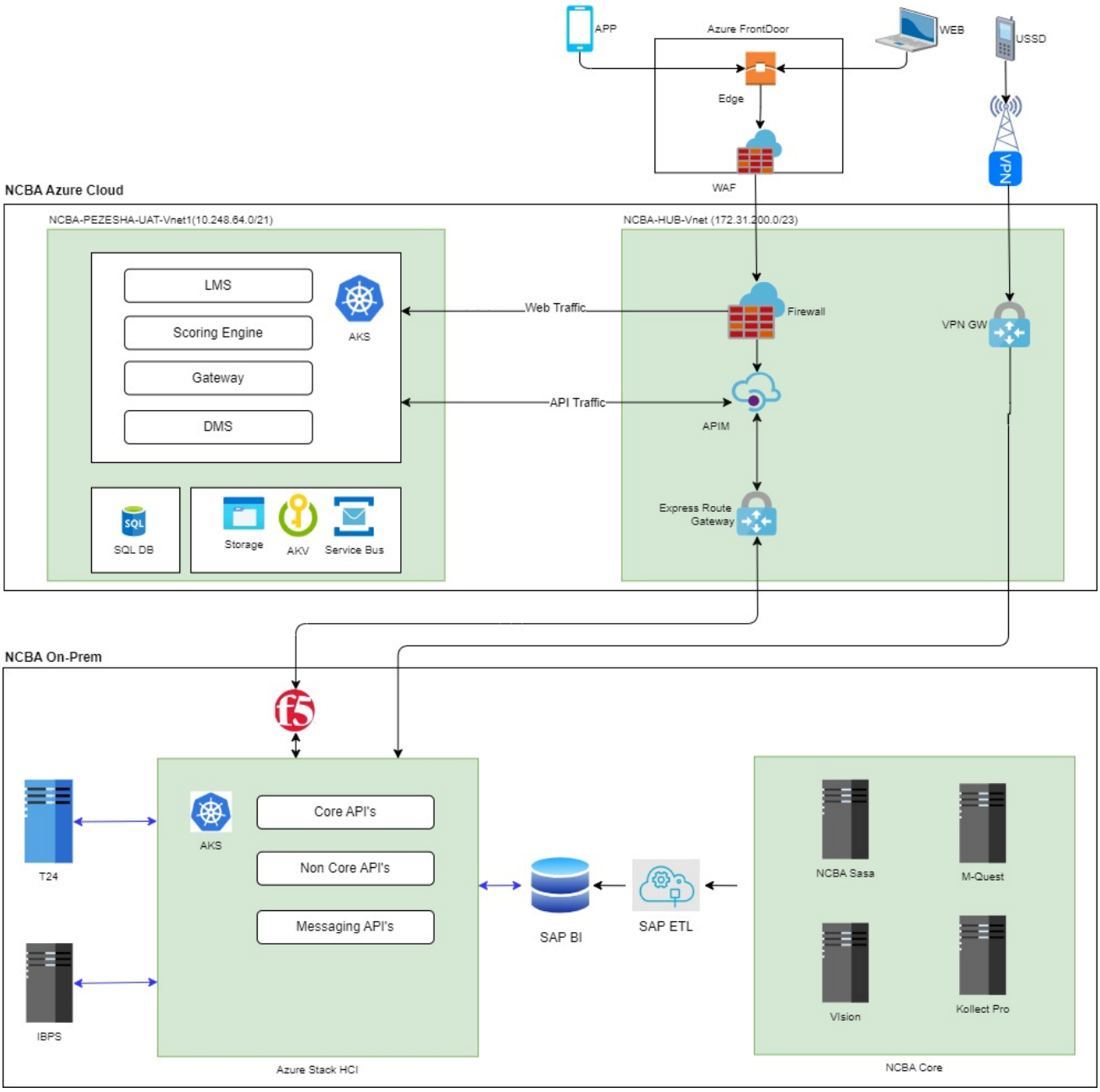


11.0 System Architecture

11.1 Deployment Architecture



11.2 Application Architecture



12.0 Annexures

1. MOU copy
2. Std NDA copy
3. Anchor appraisal template
4. Anchor appraisal checklist



STD NDA_NCBA.docx



MOU_DFS_NCBA.docx



Anchor Appraisal Memo_Template.docx



Anchor Onboarding Checklist_NCBA.docx